00137

Sri Lanka Institute of Information Technology

B.Sc. Special Honors Degree
in
Computer Systems and Network Engineering

Final Examination

Year 3, Semester 2 (2022)

IE3060 – Business Management for IT

Duration: 3 Hours

November 2022

Instructions to Candidates:

- The paper contains Four (4) questions in Six (06) pages.
- All the questions are compulsory.
- Candidates should answer all the questions in the answer booklet given.
- Calculators are permitted.

Question One **(Total 20 Marks)**

1.1 Show the effects of the followings graphically, on the **supply curve of yoghurt,**

a. The price of a cup of yogurt is reduced from Rs.50 to Rs.60 causing a change in the quantity supplied from 30 cups to 35.

b. Dairy farmers supply milk required to manufacture yoghurt. Due to a disease that had started spreading, the milk production got affected and had reduced by a considerable amount.

c. The price of cheese is increased.

d. New technology is introduced for manufacturing yoghurt which results in lowering manufacturers' costs of production.

e. Yoghurt manufacturing firms expect the price of yoghurt to rise in future.

1.2 Show the effects of the followings graphically on the **demand curve of Mirinda,** a carbonated soft drink brand.

a. The price of Mirinda is increased from Rs.20 to Rs.25 causing the demand to change from 35 to 30

b. The price of Fanta is decreased.

c. The government imposes a new tax on the price of Mirinda.

d. The income earned by Mirinda consumers is increased.

e. Research reveals that Mirinda contains too much of sugary content harmful for health ultimately resulting in diabetes.

Question Two **(20 Marks)**

"Rosmee" is manufactured by a well-known cosmetic manufacturer which was engaged in operations since late 1990's. The company is well known for manufacturing good quality local cosmetic brands. However, the introduction of "Rosmee" marks the first launch of the perfumes range by the company.

"Rosmee" is exclusively available in some selected shopping malls in Colombo only. The company targets a niche, who is brand conscious and is willing to consume luxurious brands. "Rosmee" marks itself as a unique offering due to its floral fruity combination, quality manufacturing process followed and the exclusive packaging that makes it's a perfect option for gifting too.

Following information is extracted from the marketing plan of the product " Rosero", for the year 2022.

Variable cost per unit	Rs.165/=
Estimated sales (in units)	50000
Customer perceived value	Rs.200/=
Fixed cost	Rs.1,500000/=
Competitor price	Rs.175/=
Expected profit margin	25%

a. Calculate the per unit cost. (05 Marks)

b. Calculate mark-up price. (05 Marks)

c. What are the two types of pricing strategies available to set a price for a newly launching product? (5 Marks)

d. Given the above circumstances, which pricing strategy is appropriate to set the price for Rosero? You are required to provide adequate reasoning as a justification for your choice. (05 Marks)

Question Three **(30 Marks)**

Sugath started a proprietorship on 01st of January 2022 and the transactions occurred during the first month of his business are stated below

1.	Sugath started his business by investing Rs.200,000 in cash
2.	Purchased goods for the business on credit basis for Rs.100,000
3.	Goods worth Rs.50000 were sold on credit basis to Nirmal
4.	Electricity expense of Rs.10000 was paid in cash
5.	Sugath had withdrawn good worth Rs.25000 for his personal use
6.	A generator worth Rs.250,000 was purchased from Abans on credit
7.	Sugath obtained a bank Loan worth Rs.500,000
8.	Nirmal settled 50% of the amount he owed to Sugath via a cheque
9.	Rent expense worth Rs.40000 was paid in cash
10.	Sugath invested another Rs.100,000 to the business
11.	Sugath sold good worth Rs. 50000 to Rukshala on credit
12.	Rs. 150000 worth was machine was purchased by Singer, paying Rs.75000 in cash
13.	Sugath took Rs. 25000 for his personal use
14.	Nirmal paid Rs. 25000 in cash
15.	Purchased a vehicle worth 4,500000 from Allison motors on credit

Question Four **(Total 30 Marks)**

Given below are financial statements of Soveen Ltd for the year ended 31st December 2021.

Statement of comprehensive income for the year ended 31 December	**2020**	**2021**
	Rs. Millions	Rs. Millions
Revenue	500	480
Cost of sales	(250)	(180)
Gross profit	**250**	**300**
Administrative expenses	(55)	(45)
Distribution costs	(60)	(60)
Operating profit	**135**	**195**
Finance costs	(7)	(8)
Profit before tax	128	187
Income tax expense	(10)	(15)
Net Profit	**118**	**172**

Balance Sheet as at 31 December	**2021**	**2022**
ASSETS	Rs. Millions	Rs. Millions
Non-current assets		
Property, plant and equipment	285	250
	285	250
Current assets		
Inventories	100	80
Trade receivables	50	80
Cash	10	05
	160	165
Total assets	**455**	**415**
EQUITY AND LIABILITIES		
Equity		
Share capital	100	110
Retained earnings	200	75
Total equity	300	185

Non-current liabilities		
Bank loan	30	20
	-	-
Current liabilities		
Trade payables	100	80
Short-term loans	15	10
	115	90
Total liabilities	145	110
Total equity and liabilities	**445**	**415**

You are required to analyze and interpret the following ratios for **both years**.

(a) Gross profit margin

(b) Net profit margin

(c) Current ratio

(d) Quick ratio

(e) Receivable days

(f) Total assets turnover

-End of the Question Paper-